

But getting the timing right is the most difficult feat for any trader, no matter how experienced he is. Traders who tried to call the top in realty and infrastructure firms in recent months had taken a nasty licking. Many of them had even become converts, turning buyers in those very stocks they had shorted, in the hope of recouping their losses. This was similar to the trend seen in technology stocks during the dotcom boom of 2000.

I was reminded of a stock market adage: a bull market does not start till the last bull has given up hope and a bear market does not start till the last bear has given up hope. One could already see many bears throwing in the towel after repeated failures in their attempts to profit through short sales. In fact, bears never stood a chance in the face of the tidal wave of FII money. By mid-October, FIIs had ploughed in a record \$18 billion into Indian equities for the year so far, lifting the Sensex above 20,000. The Fed's decision to cut benchmark rates in the US by 100 basis points in two tranches from mid-August was one of the key factors fuelling money flows into emerging markets, including India.

In two months, the Sensex had risen 5,000 points, setting off alarm bells in the government and the regulatory bodies. Strong capital flows was a good thing, but excess of it spelt trouble as it would make the rupee too strong, and by extension, Indian exports uncompetitive. The torrent of dollars had already lifted the rupee to a record high of 39 to the greenback. This apart, the dollar deluge made the Indian market vulnerable to a sudden withdrawal of 'hot money', if FII outlook on the country changed for some reason.

Hedge funds had become hyperactive, and a big chunk of their money was coming through the participatory notes route. It worried the government and regulators that there was no saying who the actual investors behind the P-notes were. They could be politicians, Indian promoters, the underworld or even terrorists! The fact of the matter was that a good chunk of the P-notes were just a sophisticated form of *benami* investment.

To rein in the marauding FIIs, SEBI signalled its intent to clamp down on P-notes. In a discussion paper released on the evening of 16 October, the regulator proposed an immediate ban on fresh issue of P-notes that had derivatives as underlying assets. It also proposed that renewal of outstanding P-notes be disallowed, and the positions be unwound over the next eighteen months.